

Class X Practice Test 2 Examination

Answer Key

SECTION D

ECONOMICS (20 marks)

29. IMR stands for (1)

- A. Infant Mortality Ratio
- B. Indian Mortality Ratio
- C. International Mortality Rate
- D. Infant Mortality Rate

30. Which age group of children is included for calculating Net Attendance Ratio? (1)

- A. 6- 10
- B. 7-11
- C. 15 -17
- D. 14– 15

31. Government owns most of the assets and provides all the services: (1)

- A. Private Sector
- B. Organised Sector
- C. Public Sector
- D. Tertiary Sector

32. Different persons could have different as well as conflicting notions of a country's development. A fair and just path for all should be achieved. Interpret the concept being discussed here. (1)

- A. Social development
- B. Cultural development
- C. National development
- D. Economic development

33. Match the following items given in Column A with those in Column B. Choose the correct answer from the options given below: (1)

	Column A		Column B
1	Organised sector	(i)	The part of the economy not run by the government
2	Unorganised sector	(ii)	Businesses are registered with the government and follow its guidelines and regulations
3	Private sector	(iii)	Government controlled enterprises
4	Public sector	(iv)	Also known as informal sector

Options:

A. 1-(i), 2-(ii), 3-(iii), 4-(iv)

B. 1-(ii), 2-(iii), 3-(i), 4-(iv)

C. 1-(ii), 2-(iv), 3-(i), 4-(iii)

D. 1-(i), 2-(iv), 3-(ii), 4-(iii)

34. Banks provide a higher rate of interest on which of the following accounts? (1)

A. Saving account

B. Current account

C. Fixed deposits for long period

D. Fixed deposits for very short period

35. 'Technology has stimulated the globalisation process.' Support the statement with relevant examples. (3)

Technology has stimulated globalization in the following ways:

- Transportation technology has witnessed several improvements in past fifty years. This has made much faster delivery of goods across long distances possible at lower costs, such as use of containers have led to huge reduction in port handling costs and increased the speed with which exports can reach markets.
- Also, the cost of air transport has fallen ultimately stimulating the globalization process
- Telecommunication has also shown remarkable development. Computers, internet, e-mail, voicemail, etc are used intensively to contact one another around the world.

- There has been a remarkable development in information and communication technology. It has enabled to access information instantly and communicate even in the remotest areas.
- Call centres use this to satisfy their customers abroad or provide outsourcing services from anywhere.

36. Discuss the limitations of per capita income as an indicator of development. (3)

The following are the limitations of per capita income as an indicator of development:

- (a) Per capita income does not tell us anything about the distribution of income. A poor country with a more equal distribution of income would be better than a richer country with unequal distribution of income.
- (b) Per capita income does not measure various facilities and services that influence quality of life, for example, health facilities, education facilities, equal treatment, etc.
- (c) It is affected by size of population. Even with a large national income, per capita income will be low if a country has a large population.

37. Do you consider the classification of economic activities into primary, secondary and tertiary sectors to be useful? Explain your reasoning. (3)

Yes, the classification of economic activities into primary, secondary and tertiary sectors useful because of the following reasons:

- (i) It helps us to know what is the share of each sector in GDP
- (ii) It tells us how many workers are employed in each sector.
- (iii) It tells us which sector is gaining importance

38A. What is credit? How can credit be both an asset as well as a debt trap? (5)

Ans. Credit refers to an agreement in which the lender supplies the borrower with money, goods or services in return for the promise of future payment. It can be both an asset and a debt trap.

Credit as an Asset

- Enhances Purchasing Power- allows individuals and businesses to make

purchases and investments they couldn't afford upfront, stimulating economic activity.

- Facilitates Growth- supports investments in assets like homes and businesses, fostering wealth accumulation and economic development.

Credit as a Debt Trap

- Accumulates Debt: Excessive borrowing beyond one's ability to repay can lead to cycle of debt.
- Costly Interest- High interest rates and fees increase the total repayment amount, prolonging debt repayment and causing financial strain.

Or

38B. Why is modern currency accepted as a medium of exchange even though it has no use of its own? (5)

Modern money has been accepted as a medium of exchange because:

- (a) It is authorised by the government of a India.
- (b) It is issued by the apex bank on behalf of the government.
- (c) No other individual is allowed to issue currency.
- (d) The law of the country legalises its use as a medium of payment and settling transactions.
- (e) No one in a country can refuse payment made in the currency.